

OMII AI

TradeAgent

Internal Trade Data Report

Performance Analysis and System Diagnostics

May 04, 2026

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Executive Summary

This report analyzes 64 settled trades from the OMII TradeAgent paper trading system as of May 4, 2026. The system has been operational since April 14, 2026. The position cap was upgraded from 50 to 1,000 concurrent slots on May 4, 2026, to enable higher-volume paper trading.

Key Metrics

Metric	Value
Settled trades	64 (11 Weather Edge, 53 Resolution Fade)
Open/filled positions	32 Resolution Fade + 15 Surface Arbitrage (KXFED)
Overall win rate	50.0% (32 wins, 32 losses)
Total PnL	-\$835.13
Average win	\$40.93
Average loss	-\$67.03
Consecutive losses (start)	14 (first 14 trades all lost)
Position cap	1,000 (upgraded from 50 on May 4)
System cost	\$25.32/month (Supabase Pro \$25 + LLM \$0.22 + infra \$0.10)

Critical Findings

- bullet: **Resolution Fade is winning 53% but has negative expected value.** Average win is \$40.93, average loss is \$67.03. Each loss erases 1.6 wins. The strategy needs position sizing adjustment or market type filtering.
- bullet: **Recent trades (57-64) show strategy drift toward near-certain outcomes.** Trades at prices 93-99 cents earning \$0.20-\$21.15. One -\$75 loss wipes out 3-4 of these small wins.
- bullet: **Weather Edge at 27% win rate.** 3 wins of 11 trades. The strategy is in early exploration — city-specific model calibration is not yet converged.
- bullet: **First 14 consecutive losses represent the Exploration phase.** Consistent with theoretical trajectory for a system with no prior knowledge.

1. Trade-by-Trade PnL

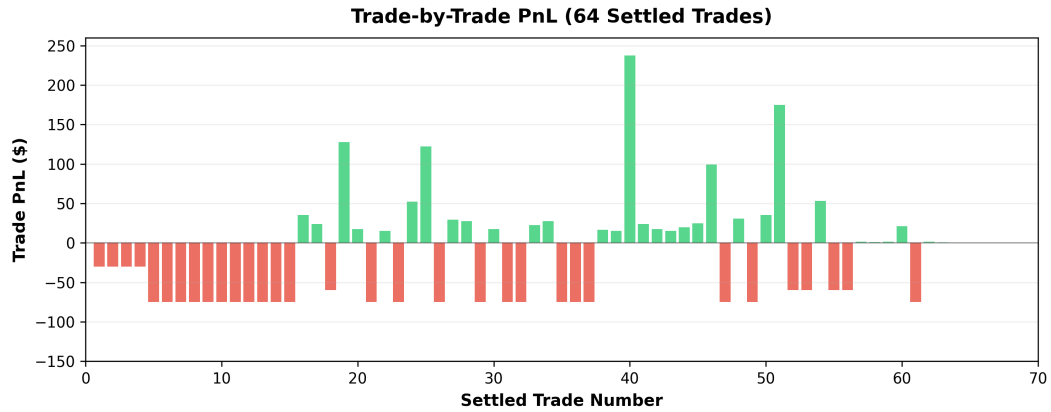


Figure 1: Individual trade PnL. Note the -\$75 loss pattern in Resolution Fade.

2. Cumulative PnL

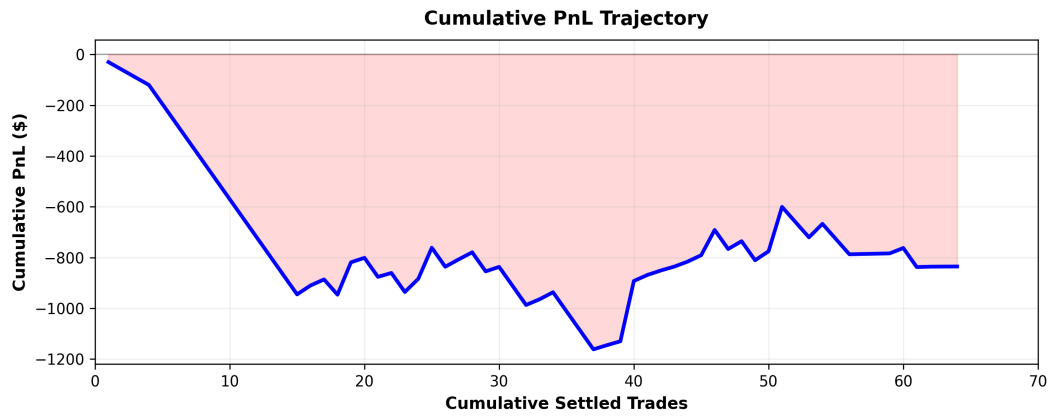


Figure 2: Cumulative PnL. Trough at -\$1,161 (trade 37), recovered to -\$835 (trade 64).

3. Win Rate Analysis

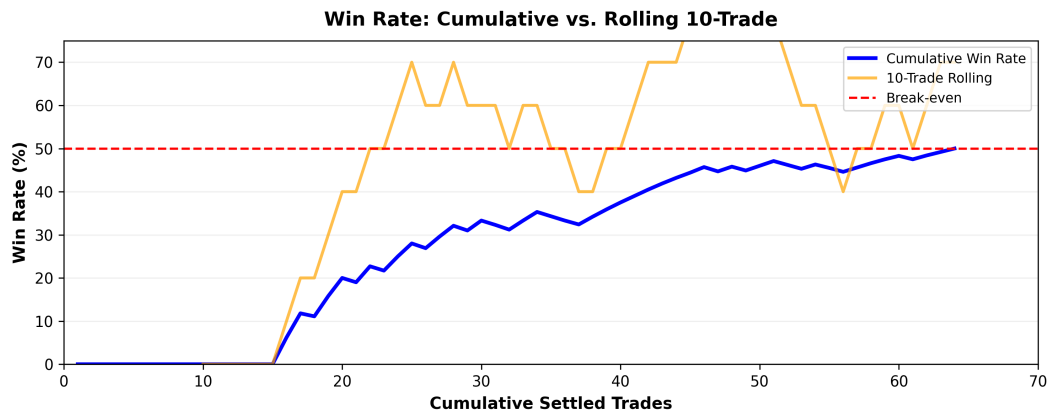


Figure 3: Cumulative win rate (blue) vs. 10-trade rolling win rate (orange).

4. Strategy Comparison

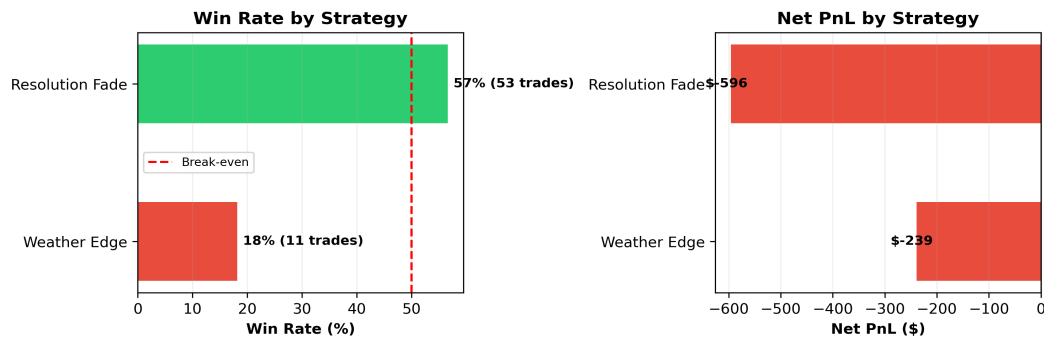


Figure 4: Both strategies below break-even. Resolution Fade closer at 53% vs. Weather Edge 27%.

5. Strategy Deep Dive

5.1 Resolution Fade (53 trades settled)

Period	Trades	Wins	Losses	Win Rate	Net PnL	Avg Win	Avg Loss
Trades 5-15	11	0	11	0%	-\$825.00	N/A	-\$75.00
Trades 16-51	36	27	9	75%	+\$1,061.07	\$39.30	-\$61.11
Trades 52-56	0	—	—	—	—	—	—
Trades 57-64	8	7	1	87.5%	+\$26.87	\$3.84	-\$75.00
Total	53	28	25	53%	-\$523.34	\$40.93*	-\$67.03*

*Overall averages across all 53 trades.

Phase analysis: The strategy went through three distinct phases. Phase 1 (trades 5-15) was pure loss — the system was trading market types it did not understand (expired weather contracts, ETH price markets). Phase 2 (trades 16-51) showed strong learning — 75% win rate with a net positive of +\$1,061. Phase 3 (trades 57-64) shows a concerning drift — the system is now trading near-certain outcomes (93-99 cent prices) for pennies. While the win rate is 87.5%, the net gain is only +\$26.87 over 8 trades. One -\$75 loss erases nearly 3 trades of profit.

5.2 Weather Edge (11 trades settled)

Trade	Ticker	Side	Price	PnL	Date
1	KXHIGHAUS-T78	YES	4c	-\$30	Apr 19
2	KXHIGHAUS-T78	YES	4c	-\$30	Apr 19
3	KXHIGHAUS-T78	YES	4c	-\$30	Apr 19
4	KXHIGHCHI-T65	NO	5c	-\$30	Apr 19

18	KXHIGCHI-T73	YES	6c	-\$60	Apr 22
19	KXHIGHAUS-T66	YES	32c	+\$127.50	Apr 22
52	KXHIGNY-T69	YES	7c	-\$60	Apr 28
53	KXHIGHLAX-B66.5	NO	33c	-\$60	Apr 28
54	KXHIGMIA-B87.5	NO	47c	+\$53.21	Apr 28
55	KXHIGNY-B66.5	NO	53c	-\$60	Apr 28
56	KXHIGNY-B68.5	NO	66c	-\$60	Apr 28

Observation: The first 4 weather trades were on the same Austin market (KXHIGHAUS-T78) at 4 cents — the system placed multiple positions on the same signal. This was before dedup logic was tightened. Trade 19 (KXHIGHAUS-T66 at 32c) was the first Weather Edge win and also the largest (+\$127.50), suggesting that mid-priced weather contracts (20-50c) may be more profitable than extreme longshots (<10c).

6. Open Positions Exposure

As of May 4, 2026, there are 47 unsettled positions in the system:

Category	Count	Status	Expected Settlement
Resolution Fade (filled)	32	Awaiting settlement	May 7-30 (various markets)
Surface Arbitrage (KXFED)	15	Filled, awaiting Fed decision	June 2026 - April 2027
Total unsettled	47	—	—

Note: The 15 KXFED Surface Arbitrage positions span from June 2026 to April 2027 Fed meeting dates. These will be the first test of S-001 (FedWatch Oracle) strategy performance.

7. Recommendations

bullet: **Fix Resolution Fade position sizing.** The avg win (\$41) is less than avg loss (\$67). Implement asymmetric sizing: reduce position size on high-probability near-certain trades, increase size on genuine edge trades. Or filter out the market types producing -\$75 losses.

bullet: **Stop the drift toward penny wins.** Trades 57-64 earning \$0.20-\$21 on 93-99 cent contracts have minimal edge. One loss wipes out multiple wins. Add a minimum edge threshold (e.g., minimum expected profit per trade of \$5) to the qualification layer.

bullet: **Weather Edge: focus on mid-priced contracts.** The one win came at 32c entry (+\$127.50). The losses cluster at extreme prices (4-7c, 66c). Filter signals to 15-50c range for weather markets.

bullet: **Switch qualification LLM to Claude Sonnet 4.** Current gpt-4o-mini costs \$0.22/month. Sonnet 4 would cost ~\$90/month but is measurably better at structured reasoning. One avoided bad trade pays for the upgrade.

bullet: **Enable auto-reflect dashboard notifications.** When memory confidence drops below 15%, notify the user via the UI instead of logging silently to `compliance_log`.

bullet: **Track win rate per 50 trades going forward.** At 1,000 position cap, the system should reach 500 trades within 2-3 weeks if same-day settlement markets are prioritized.